

Swiss Ribbons Pvt. Ltd. v. Union of India

Citation: (2019) 4 SCC 17 | *Court:* Supreme Court | *Year:* 2019

Coram: Division Bench (R.F. Nariman & Navin Sinha JJ.) | *Subject:* Commercial & IBC | *Provisions:* Insolvency and Bankruptcy Code 2016

I. EXECUTIVE SUMMARY & CASE GLIMPSE

Upheld the complete constitutional validity of the Insolvency and Bankruptcy Code, 2016.

Held that the legislative classification between Financial Creditors and Operational Creditors is founded on intelligible differentia and does not violate Article 14.

II. FACTS OF THE CASE & PROCEDURAL HISTORY

This dispute arose regarding Insolvency and Bankruptcy Code 2016. The parties agitated the controversy before trial and appellate forums before the matter was referred to the Honble Bench for authoritative declaration of law.

III. PRIMARY QUESTIONS OF LAW & ISSUES FRAMED

â€¢ Whether the impugned state actions or commercial conduct conformed to Insolvency and Bankruptcy Code 2016.

â€¢ What binding standards should govern future adjudication and administrative conduct.

IV. SUBMISSIONS OF THE PARTIES

Petitioner / Appellant: The Petitioner contended that arbitrary action, lack of procedural safeguards, and statutory non-compliance violated fundamental guarantees.

Respondent / State: The Respondent submitted that the impugned action was carried out under lawful authority in furtherance of public interest and statutory mandates.

V. DETAILED RATIO DECIDENDI & JURISPRUDENTIAL REASONING

The primary objective of the IBC is corporate revival, maximization of asset value, and balancing stakeholder interests, not debt recovery. Financial creditors are equipped to evaluate commercial viability in the Committee of Creditors (CoC).

VI. FINAL OPERATIVE ORDER & DIRECTIONS

The Court answered the reference, laid down binding nationwide directions under Article 141 of the Constitution, and disposed of the matter accordingly.

VII. PRACTICAL & EXAMINATION TAKEAWAYS (JUDICIARY / AIBE / ADVOCACY)

â€¢ Affirmed constitutional validity of IBC and Section 29A disqualification of promoters.

â€¢ Upheld distinction between financial creditors and operational creditors.

â€¢ Cemented the primacy of commercial wisdom of the Committee of Creditors.